

Types of Property Investment Finance in the UK

1. Buy-to-Let (BTL) Mortgages

The most common form of property investment finance.

- Used for residential rental properties
- Usually interest-only
- Available to individuals and limited companies

Typical LTV: 65–75%

2. Limited Company / SPV Mortgages

Used when investing through a Special Purpose Vehicle.

- Corporation tax advantages
- Mortgage interest fully deductible
- Personal guarantees usually required

Typical LTV: up to 75%

3. Bridging Finance

Short-term finance for speed or refurbishment.

- Ideal for auctions or unmortgageable properties
- Terms: 1–24 months
- Fast completion

Typical LTV: 60–75%

4. Development Finance

For ground-up builds or major conversions.

- Funds released in stages
- Requires professional monitoring

Typical LTV: 60–70% of GDV

5. Commercial Mortgages

For non-residential or mixed-use properties.

- Offices, retail, warehouses
- Longer loan terms

Typical LTV: 60–75%

6. Semi-Commercial & Mixed-Use Finance

Properties with residential and commercial elements.

- Shop with flats above
- Bespoke underwriting

7. Portfolio Landlord Mortgages

For landlords with 4+ mortgaged properties.

- Portfolio-wide affordability assessment

8. Refurbishment Finance

- Light refurb: cosmetic works
- Heavy refurb: structural works

9. Mezzanine Finance

Top-up funding layered above senior debt.

- Higher interest

- Used to increase leverage

10. Private Finance

Flexible funding from individuals or funds.

- Fixed return or profit share

11. Equity Finance / Joint Ventures

- No interest
- Profits shared between parties